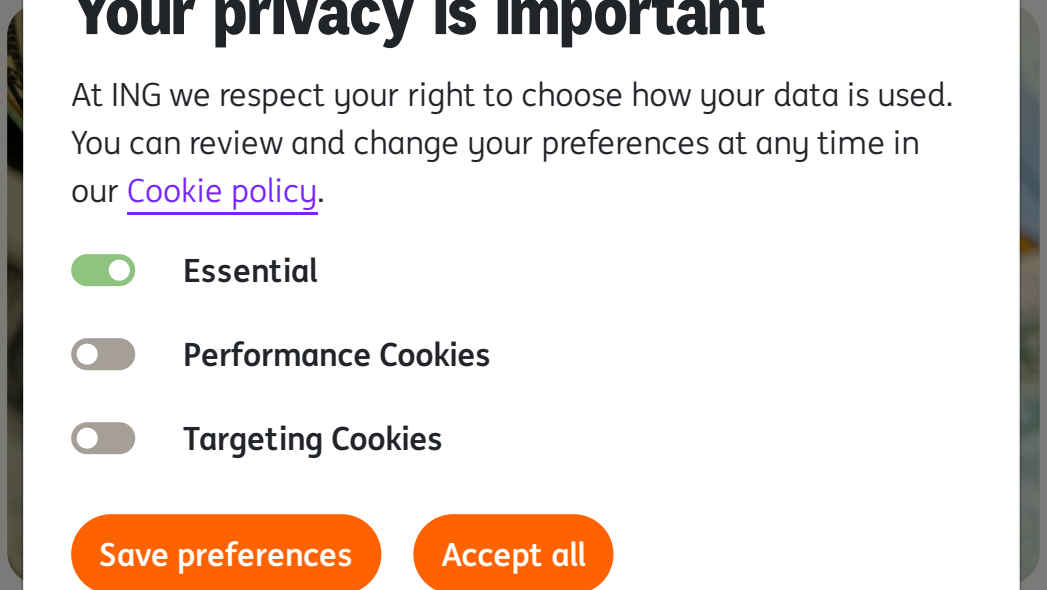
In a very uncertain world, this year's more hawkish steer from the Federal Reserve has provided a constant and supportive anchor for the dollar. While the immediate picture for the dollar looks quite constructive, a turn in the inflation cycle by the second half of 2027 should usher in a modest downtrend




Chris Turner and Francesco Pesole



Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

Save preferences

Accept all

Executive summary

We all know that the 'big dollar' call sets the tone for global markets – and that call is largely influenced by the Fed. What seems clear as we go to press is that the central bank is not about to turn dovish. In fact, influential centrist Christopher Waller has just made his case for opening the door to a 50bp hike this December.

That hawkish, dollar-positive tilt stands in contrast to the typically negative seasonal factors faced by the dollar in December. This year, however, the dollar has enough positives to defy that pattern. US growth might slow slightly from the 3.4% quarter-on-quarter annualised rate in the third quarter but remains strong. And what

seems to be a strengthening jobs market and inflation way above target look set to keep tightening expectations firm for a couple of months yet. That probably means the low-yielding yen and Swiss franc can remain on the back foot over the coming months.

It seems a difficult call to make today, but the ING house view forecasts just one 25bp Fed hike in December to conclude this recalibration of Fed policy. We are not forecasting an AI bust but are positioning ourselves at the dovish end of the Fed spectrum for 2027. Here, further pressure on the housing market, alongside lower energy prices and softer wages should give the Fed enough room to ease restrictive policy in the final months of 2027. Such an outcome feels a distant prospect right now.

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies



Source: ING, Refinitiv. Numbers in scenarios 1 and 4 based on 2 std moves implied by option market

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

through the first quarter of 2027, driven by a solid US labour market, inflation still in the 3.5-4.0% area and AI investment still contributing to growth. Our baseline sees the dollar turning lower in the second quarter, when inflation will be falling back to 2.0% and money markets will be questioning whether the Fed needs to keep policy at 100bp above neutral with inflation back at target. This assumes one Fed hike this December to 4.25% and that the Fed is able to cut rates at the end of 2027.

ECB to deliver final hike in December: The eurozone economy has put in a resilient performance this year despite higher energy prices. The European Central Bank (ECB) has already hiked rates twice this year and is expected to hike to 2.75% in December. That should be enough to contain inflation, which is still largely driven by energy. Second-round effects are nowhere to be seen. Our team sees eurozone growth slowly

picking up through 2027 to deliver full-year growth of 1.2%. Like the Fed, we think the ECB will have room to ease restrictive monetary policy towards the end of 2027. There will also be a focus on who succeeds ECB President Christine Lagarde by next February. Klaas Knot and Pablo Hernández de Cos have made it to the final round. A sea change in ECB policy looks unlikely, given that a new chief economist will balance whoever gets the top job.

EUR/USD baseline and risks: Speculators are well on their way to building extensive short euro positions. The data suggests the European buy-side, just as was the case in early 2025, is prepared to hold positions in US assets with very low FX hedge ratios. Our base case assumes continued trading in a 1.10-1.15 range over the next four to five months and then a modest rebound towards 1.18 by end-2027 as US inflation drops and the Fed loosens restrictive policy. At a time of a

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

160 remains the line in the sand: Ever since Washington joined Tokyo's defence of the yen in late July, USD/JPY has not been able to hold a move above 160. The first joint intervention to support the yen since 1998 sent a strong signal of aligned interests. Japan does not want a weaker yen to make the cost of living any worse. Washington does not want a higher USD/JPY to drag the USD/Asia complex with it, undermining efforts to level the playing field for US manufacturers. Even though the US Treasury only intervened in small amounts of EUR/JPY at the time, the commitment to keep USD/JPY under 160 looks clear. A hawkish Fed makes that task harder, but the Bank of Japan (BoJ) should be closing the rate gap. We look for a hike to 1.50% in December and then another in March. A pronounced turn lower in USD/JPY may not emerge until the second quarter of next year, however, when we have short-dated US rates finally starting to drop.

Takaichi tries to reflate the economy: Prime Minister Sanae Takaichi's policies are focused on building strength both domestically and internationally. Domestically, her party, the Liberal Democratic Party (LDP), is pursuing a strategic JPY370tr investment target by 2040, utilising both public and private money, targeted across 17 strategic sectors. Growing at around 0.8%, the Japanese economy is already around trend output, and Japan may be one of the few G10 economies with a positive output gap in 2027. This means the BoJ could be one of the central banks to hike more than expected or be among the last to cut rates in a global downtrend. This backdrop is keeping the BoJ hawkish and the focus on whether corporate profits are still driving wages higher. Recent evidence suggests they are, which is one of the reasons why the BoJ has recently concluded that its 2% inflation target has been stably met. A key focus in 2027 will be whether Japan can use productive investment to offset its labour shortage challenges.

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

GBP/USD: Another year of tight ranges

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27	4
GBP/USD	**1.33**	Mildly Bullish ↗	1.36	1.36	1.38	1.38	

BoE matches Fed hawkishness: One abiding feature of core money markets this year was how readily traders were prepared to price in Bank of England (BoE) hikes. Sterling rates did have one of the highest correlations with oil prices, but even when Brent corrected below $100/bbl recently, markets still held onto views of a terminal BoE rate of near 4.75%. Important for the GBP/USD story is the timing of the relative US and UK inflation trajectories in 2027. Our team sees US

inflation coming back towards 2% in the second quarter as energy base effects drop out. In the UK, however, the lagged implementation of the energy price caps means that inflation does not start to turn lower until the third quarter. Our call is therefore that US rates could turn lower before those in the UK, and that GBP/USD could be retesting the 1.37-1.38 range highs in the second quarter.

Some creeping optimism: It might not seem like it given that GBP/USD is still trapped in the middle of its current 1.32-1.37 range, but investors are getting more positive on the pound. The price of the one-year 25-delta risk reversal, which measures the price of a call option over a put option, is now showing the smallest skew towards GBP puts since March. That has not shown up in the FX positioning data yet, where asset managers are still running large sterling shorts by historical standards. Buy-side surveys also show international fund managers are still

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

maturity profile and near-term debt financing needs certainly look better than those in the US.

EUR/JPY: Steady, with downside risks

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3
EUR/JPY	**177.00**	Neutral	179.00	179.00	180.00	17

Positive correlation with growth and equities: Both Europe and Japan have faced their struggles with high energy prices, but both economies have performed quite well. Europe has benefited from the growing fiscal stimulus put in place last year, which is starting to show through

in series like German manufacturing orders. Japan's economy has been protected by the government's use of energy stockpiles, and in 2027, Japanese consumers will benefit from a large cut in VAT on food next April. Yet EUR/JPY remains positively correlated with growth and pro-risk sentiment in general and would suffer in an equity downturn. Decent advances in corporate profits suggest that a large equity correction is not a given, while forecasts for continued growth and a turn in inflation in the second half of 2027 make the case for continued equity gains and a supported EUR/JPY.

Focus on France: Japanese investors have historically been big investors in French sovereign bond markets, although these flows seem to have stalled over recent years. French debt had been seen as a higher-yielding, liquid alternative to German Bunds. However, France's unresolved budgetary situation and the threat of further sovereign d

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

currency be in the G10 space? The Swiss franc has the lowest borrowing rates, but Japanese rates should be closing in on euro rates by the end of 2027. At that point, we could be looking at the BoJ policy rate near 1.75-2.00% and the ECB rate at 2.50%. Unless eurozone growth sharply surprises on the upside and there is a substantial rotation into euro-denominated asset markets, we suspect investors will be considering euro-funded carry trades given the nature of European political risk in 2027. Assuming inflation does turn lower through 2027, we expect the ECB to be more welcoming of a weaker euro than Japan is of a weaker yen. Overall, we see a relatively flat EUR/JPY through 2027 but, again, with greater risk to the downside.

EUR/GBP: Let's not get carried away

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27	4
EUR/GBP	**0.84**	Mildly Bullish	0.83	0.83	0.84	0.85	

Sterling has overshot rate differentials: EUR/GBP is already trading substantially lower than interest rate differentials would suggest. Some of that is probably down to a risk premium in the euro on the back of French budgetary risk. Sterling may also be playing a limited role as a safe haven at the moment, given it trades at lower volatility than many G10 FX pairs, offers high interest rates and has a powerful fiscal rule, which means that in 2027 the UK budget deficit should narrow to close to 3% of GDP. At the same time, we think ongoing merger and acquisition inflows to the UK are playing a role here too. £141bn of deal flows have already been completed year-to-date, and there's another £

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

Unwinding Brexit? One wild card for the pound is the risk that Prime Minister Andy Burnham opts for early elections next year. Labour is performing well in the polls, and long-term government objectives on social care and getting closer to Europe look like they will require a mandate from the British electorate. How close the Labour Party wants to get to Europe remains to be seen. At present, Labour policy wants merely to start a conversation on the subject. But were Labour to put another referendum in its election manifesto, sterling would take a lot more positive notice. That said, an early election might not be a one-sided risk for sterling if, say, the fiscal rule were to come up for renegotiation.

EUR/CHF: SNB more tolerant of franc strength

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27
EUR/CHF	**0.92**	Mildly Bearish ↘	0.91	0.91	0.90	0.90

Franc plays important role in SNB policy: Having proved a popular funding currency during the summer, the rebound in the franc and the drop in EUR/CHF have been driven by lower core rates and the re-emergence of French budgetary risk. So far, the Swiss National Bank (SNB) has sounded happy to keep the policy rate at zero even while the rest of the world is tightening. Our house call remains for the SNB to keep rates unchanged, and we doubt it would tighten even if inflation nudged above 2% for a couple of months. However, much lower inflation in Switzerland than in its trading partners means that the real franc has been weakening. The SNB does not want the extra monetary

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

by biologics. Also helping the sector are the exemptions from the 12.5-15% US tariffs on the sector struck by major Swiss pharma companies in return for investment in US manufacturing.

A preferred safe haven: The franc strengthened its credentials as a safe haven during both 2025 and 2026. A solid AAA-rated issuer, twin surpluses and a net foreign asset position worth over 100% of GDP make the franc a go-to choice in the event of either a bond sell-off or European political risk, both of which are likely to be present in 2027. At the same time, the SNB has backed away from its "increased willingness to intervene", a phrase introduced when EUR/CHF briefly broke below 0.90 in March. In reality, that threat had overstated the SNB's intentions, given that it only bought CHF4bn in the first quarter and under CHF2bn in the second. We therefore expect EUR/CHF to stay

offered through much of 2027, with a risk of a break below 0.90 in the event of a crisis.

EUR/SEK: Gliding back to pre-war levels

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3(
EUR/SEK	**11.05**	Mildly Bearish ↘	11.00	10.90	10.90	1(

Riksbank's tightening cycle should be limited: The Riksbank has clearly communicated that its baseline is for rates to reach 2.25-2.50% from the current 2.0% by mid-2027. We agree, and while the risks remain finely balanced between one and two more hikes, we are sticking to our call for just one in February or March after the latest inflation numbers n
u
e
f
w
o
h
c
r

M
d
E
c
o
from a peak of around 60bp in September. We expect the gap to narrow by 15-30bp over the course of 2027. The range reflects whether the Riksbank hikes once or twice, as well as markets switching more quickly to pricing in ECB rate cuts. We expect one last ECB hike in December 2026 and a cut in the fourth quarter of 2027. The growth differential should also remain moderately negative for EUR/SEK. We estimate 2027 growth at 2.1% in Sweden versus 1.2% in the eurozone. That should favour a gradual return to pre-war ranges in the pair.

Risks to our baseline: We see EUR/SEK stabilising around 11.00 into end-2026, before gradually returning to 10.80 in 2027. Risks of a bigger decline stem more from the euro side, as a busy eurozone political calendar could drive further widening in European government bond spreads and, in turn, looser ECB policy. Upside risks are mostly geopolitical. Our baseline assumes Brent returns to $70-80/bbl in 2027,

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

a clearly optimistic scenario. SEK is less exposed to higher oil prices now, given the Riksbank's readiness to tighten, but a prolonged Gulf conflict would still argue for a more supported EUR/SEK. The inflation ramifications are particularly important: a return to a 2022-style global inflationary crisis can cause SEK losses to exceed those of 2026. A bigger threat to the krona is a potential escalation between Russia and NATO, given Sweden's geographical exposure. An AI bust also poses upside risks for EUR/SEK if contagion spreads across European markets, though SEK should be better protected in a US-idiosyncratic event thanks to capital repatriation flows.

EUR/NOK: A year for stabilisation

	Spot	Year ahead bias	4Q26	1Q27	2Q27	3Q27

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

25bp cuts, in 3Q and 4Q, taking rates to 4.0%. Some growth softening should contribute to the dovish shift: we expect 1.2% growth in 2027, with downside risks.

A quieter year for NOK: Markets aren't fully pricing in rate cuts in Norway before 2028, so we expect a dovish repricing to weigh on the krone. At the same time, we doubt Norges Bank will signal a rapid cutting cycle ahead, as inflation will still be above the 2% target in 2027. Incidentally, our view leans on the dovish side of consensus, and the risks are skewed towards a delay in easing plans. In the first half of the year, anyway, NOK will continue to enjoy a very attractive carry. If our call for low volatility materialises, carry should limit the size of any EUR/NOK rally fuelled by lower energy prices. As we see the ECB shift to easing from 4Q27, the front-end rate differential in EUR/NOK should turn only moderately more supportive for the pair. Expectations for lower

interest rates in the US too should also make for a broadly supportive environment for the low-liquidity NOK. Finally, NOK's stronger fundamentals relative to the euro argue against large EUR/NOK appreciation.

Geopolitics and equities the main risks: While our baseline is for a quiet year for EUR/NOK, the krone is the least liquid currency in G10, leaving it highly exposed to violent corrections in equities, like those seen in autumn 2026. Geopolitical developments will remain a key source of volatility risk for EUR/NOK. Any re-escalation and prolonged conflict in the Middle East should bring initial benefits to the krone if energy prices find a new, higher floor. But if inflation causes another round of monetary tightening across the globe, expect NOK to underperform, as liquidity conditions drying up and more elevated volatility would nullify the krone's rate advantage. The biggest black

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

above 7.476, yet intervention has been much smaller at DKK6.3bn, spread between June and August. The deviations from the 7.460 peg target remain very small, reaching around 0.22% at the intraday peak in July. Still, the signal points to a partial change in the central bank's tolerance for EUR/DKK upside drifts.

Intervention to remain first line of defence: For some time, we sensed that contained FX intervention might have been a prelude to larger DN rate increases versus the ECB, providing structural support to the krone. Instead, the bar for a rate reaction by DN seems to have been set higher. Incidentally, even the small FX sales seen this year have been enough to take the edge off EUR/DKK, indicating good effectiveness. Denmark's FX reserves have plateaued in USD terms in 2026, but at around $110bn (approximately 22% of GDP), they still provide very large ammunition to protect the DKK peg. We therefore expect FX

intervention to remain the first line of defence against EUR/DKK upward volatility. That could be associated with renewed US-Denmark diplomatic clashes over Greenland, although the midterm blow to President Trump has probably reduced that risk.

Upward drift can linger for longer: In our view, the +40bp policy rate differential between the ECB and DN should prevent EUR/DKK from trading back below central peg parity (7.460) next year. Unless DN closes that gap through surprise rate moves, we expect EUR/DKK to remain broadly supported in a 7.465-7.475 range for most of 2027. Ultimately, we feel that a narrower policy rate gap is a realistic longer-term expectation (2028 is our best guess), which should anchor EUR/DKK back to 7.460 more steadily.

USD/CAD: A decent outlook for the loonie

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

participation rate rather than employment strength, with net employment modestly contracting. Businesses continue to report muted hiring conditions and no major pickup in expected wage growth, which has incidentally fallen in 2026 according to official data. Trade-related uncertainty is also weighing on sentiment, while growth momentum should slow in the new year, limiting businesses' ability to pass through higher producer prices.

Front-end to favour USD/CAD softening: We expect the Fed to start cutting rates in late 2027, dragging front-end USD rates markedly lower. CAD short-term rates are the most correlated with the US in G10, which often means the loonie lags most other peers during a dovish Fed repricing. Still, BoC expectations are not aggressive, with markets currently embedding another 50bp of tightening over the next year, similar to the USD curve. Crucially, we estimate Fed rates are currently

around 75bp above neutral, broadly in line with FOMC dot plot projections. In contrast, the midpoint of BoC staff neutral rate estimates is 2.75%, arguing against any monetary policy easing even if the Fed starts cutting in late 2027. Improved growth in 2027, also thanks to a pick-up in AI-related investment, should also play a role. We expect the USD/CAD 2yr swap rate gap to retighten to pre-war levels, warranting a gradual decline to 1.34 by end-2027.

Trump remains the big risk for CAD: Markets have largely dismissed the escalation in the US-Canada trade spat in 2026, with the negative impact on CAD remaining very contained. The US midterm result may suggest that the widely unpopular trade war with Canada will be shelved, increasing the chance of a comprehensive deal ahead of the yearly United States-Mexico-Canada Agreement (USMCA) review due in July 2027. Our baseline is for a new USMCA deal to be agreed this year,

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

RBA to shift to cuts in 2H27: We think the Reserve Bank of Australia (RBA) is done with hikes after having taken the policy rate to 4.85%, the highest in the G10. While policymakers haven't entirely shut the door to further tightening, the bar looks high as growth and housing concerns strengthen the dovish case. Restrictive financial conditions, housing weakness and softer confidence should weigh on domestic demand, while data centre investment is unlikely to provide a sufficient offset. We expect unemployment to reach 4.8-5.0% in 2027 and rise further in 2028. We think that will lead to a shift to easing earlier than most other central banks, with 25bp cuts in both 3Q27 and 4Q27. That would be the start of a substantial easing cycle in our view, leading to a terminal rate of 3.60% by end-2028. While the Australian dollar is likely to start the year with some of the best risk-adjusted carry in the G10, its rate attractiveness should deteriorate throughout the year.

Fundamentals favour stable outlook: We forecast the rate impact to be a modest net-positive for AUD/USD, though. Markets are not pricing in any extra tightening by the RBA, while already factoring in a cut by end-2027. Instead, the USD curve is far more mispriced on the hawkish side, in our view. We expect a roughly +20bp move in the AUD/USD short-term rate differential over the next 12 months, which is consistent with a sustainable return to 0.71 by the end of the year. However, we expect AUD to lag many G10 peers, especially in the second half of the year when RBA cuts will dent its carry attractiveness. We also see Australia's terms of trade moderating lower, in line with our view for lower oil, natural gas and iron ore prices. On the latter, our commodities team forecasts an average of $90-95/t on the back of new supply from West Africa hitting the market.

AI the biggest risk for AUD: The Aussie dollar's main vulnerability is

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

NZD/USD	**0.56**	Bullish ↗	0.56	0.57	0.58	0.59	0.60

Two more hikes by RBNZ: The Reserve Bank of New Zealand (RBNZ) surprised with a split-vote hold in October, when markets and consensus were fully aligned for a hike. Half of the committee holds a rather pessimistic view on domestic and international growth prospects and will be wary of overtightening. That view was partly validated by a soft 3Q jobs market report. That said, the inflation picture continues to argue for higher rates, in our view. We see upside risks to the RBNZ's latest inflation projections that show headline inflation gliding back to 2.1% by end-2027. The Bank's projections already embed one hike from the current 2.75% and split chances of another afterwards. Our call is for a hike in December and another in March, reaching a 3.25% terminal rate. The risks are skewed to a later resumption of hikes, but

we think a material downward surprise in growth would be required to prevent at least two hikes. Importantly, we don't currently expect any cuts by the RBNZ before 1Q28.

Rate support should improve for NZD: We expect a material decline in USD front-end rates. The Kiwi dollar's swap curve is also more hawkish than our expectations, embedding 3.50% for one year ahead and even another hike two years ahead. At some point in 2027, we think market expectations for the RBNZ will be revised lower and will start to price in a long-term neutral rate around 3.0-3.25%. Still, there should be a material improvement in the short-term rate differential for NZD/USD, which should drive spot back to 0.60 next year, in our estimates. The starting point is incidentally one of short-term undervaluation, with the pair's recent selloff larger than warranted by market fundamentals. NZD would remain a low-yielding alternative to AUD, therefore limiting id

Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies

expected, leaving greater room for the RBNZ to tackle elevated inflation with interest rate increases.

FX Outlook 2027

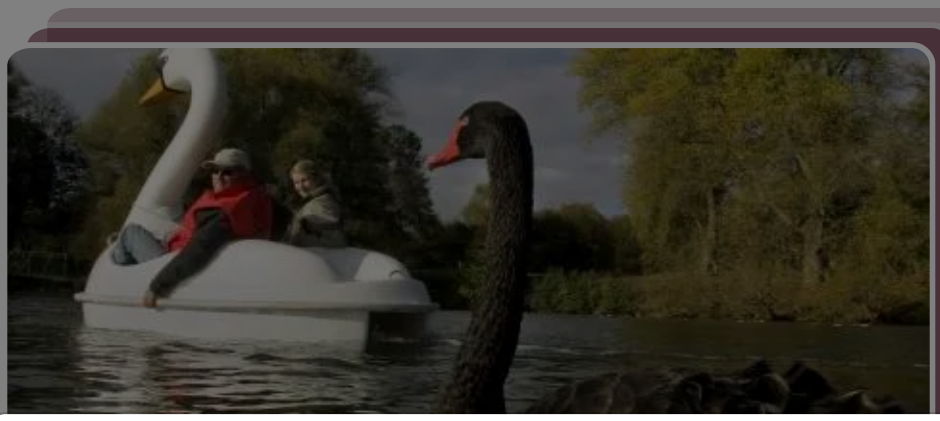
Content Disclaimer

This publication has been prepared by ING solely for information purposes irrespective of a particular user's means, financial situation or investment objectives. The information does not constitute investment recommendation, and nor is it investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument.

Read more

Share Download

Included in the following bundle



Your privacy is important

At ING we respect your right to choose how your data is used. You can review and change your preferences at any time in our Cookie policy.

Essential

Performance Cookies

Targeting Cookies